

While a freelancer may get to choose their own working hours, or may work out of the house in a set of pj's and have the freedom to take a coffee/beer break whenever they choose to, things are not always that simple. If you are considering putting down your papers to join the bandwagon of a zillion other seemingly carefree freelancers out there, you might want to read through this list of freelancing pitfalls.

### **Where's the money?**

It's the first of the month. Your cellphone beeps. It's your bank. Your salary has been credited to your account. Fabulous! You can now plan that weekend trip with your girlfriend or buy that cell phone you have been eyeing. The stability of knowing that your phone will beep on the 1st of every month and it's going to be your bank telling you 'Worry not, your money's here' is a distant reality with freelancers.

Most freelancers do not understand how to work out their finances at first. Firstly, determining your self worth and understanding how much you want to charge a certain client isn't as easy as it sounds. When you have finally figured that out, you need to get into negotiations with the client. Hypothetically speaking, once the client agrees to your terms, you need to figure out the medium of payment and establish ground rules for disbursement.

While figuring out all of this on paper is relatively easier, it's a whole different story in reality. Most freelancers are known to get stuck with unpaid bills or cheques that come in very late. This would mean long credit periods and bills that keep piling up. These are issues you didn't have to deal with in the comfort of a fixed salary. Combating the issue of an unpredictable payment structure could be challenging for a few.

### **Is the money over already?**

Now this might seem like a common problem between freelancers and salaried employees. With the growing number of loans and EMIs that need to be paid, it is pretty commonplace to find an almost empty bank account even before you hit the mid of the month. This problem, however, is even more real with freelancers because of a phenomenon called 'feast or famine'.

In the world of freelancing, incoming work can never be guaranteed. So you have 5 major clients today. You could have any of them dropout at any point in time, without a systematic method of notice being provided. Or as discussed earlier, you might still be awaiting the payment for the last 2 jobs you did for a pretty huge client. So currently you are in a 'famine' period.